



Learning Space

IAS MAINS 2020

ETHICS, INTEGRITY & APTITUDE

CASE STUDIES

MODULE - 6

CASE STUDY - 6

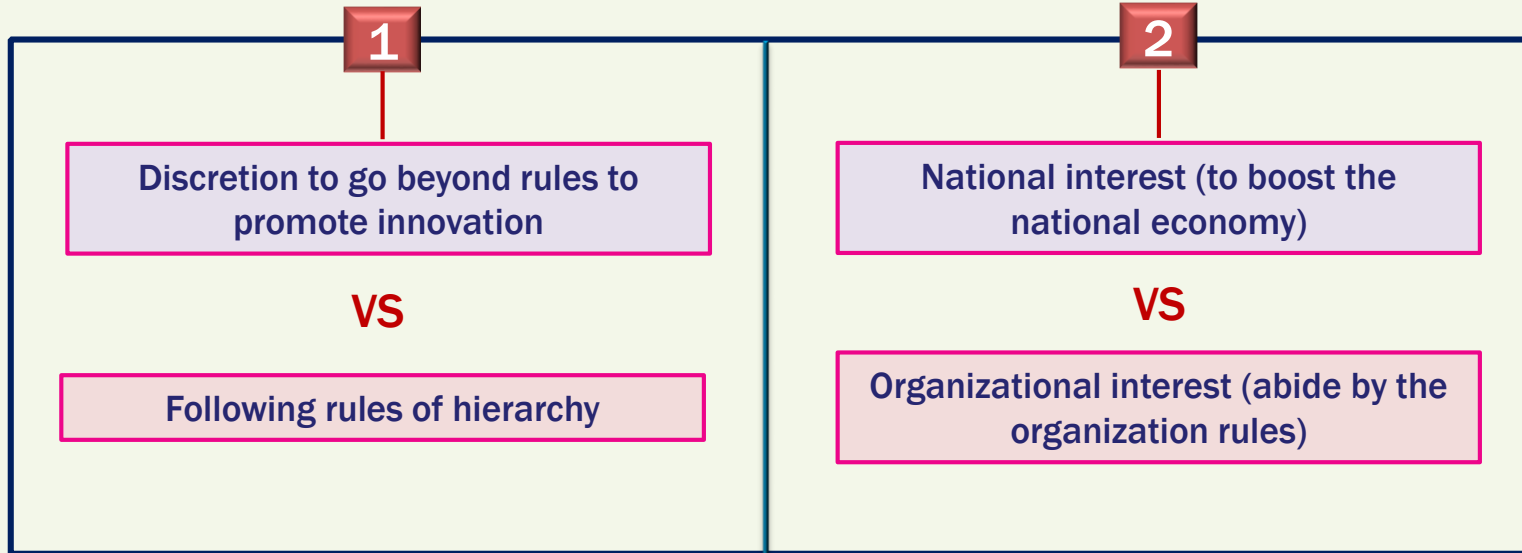
As evidenced in the rise of western countries, innovation has emerged as the key differentiating factor for the economic development of a country. Encouraging innovation can help a country move forward in several sectors. Thus, success of the Make in India initiative of the Government also hinges on innovation. Indian Railways proposed a major innovative project to run semi-high speed trains at 180 kmph on selected routes. Various global firms were approached for the supply of the train sets, and the cost quoted was about Rs 300 crores for a train set of 16 coaches. Indian Railways took it as a challenge to develop the project indigenously and give a thrust to make in India. Accordingly, a reputed coach factory was selected for execution of the project. Within a record time of 18 months, the coach factory, employing innovative methods to minimise costs and time lags, developed a train set at a cost of Rs 100 crores. Pleased with the success, Indian Railway Board felicitated the team and even announced an order for 15 train sets to the same coach factory. Meanwhile, due to the inter-departmental rivalry, other department raised the issue of not taking approvals from the internal organisation responsible for all the R&D projects of Railways. Allegations with regard to favouring a particular firm in the supply of spare parts were also raised. The Railway Board ordered a vigilance enquiry into the allegations of flouting the norms.

How does this trend affect the ecosystem of innovation? What measures can be taken to ensure that the honest and innovative organisations are not stifled by the rigid requirements of rules, regulations and hierarchy? Justify your answer. (250 words)

CASE STUDIES

This case clearly depicts the ways through which current administrative system hampers the spirit of innovation in organisations. It reflects the need to streamline the ecosystem of innovation.

ETHICAL ISSUES INVOLVED



EFFECT ON THE ECOSYSTEM OF INNOVATION

- Demotivates the employees of organizations like Indian Railway from embracing innovation.
- Issues of inter departmental rivalry and rules of approval requirements result in Red tapism that thwarts promoting innovative projects.
- Organizations fear acquiring the required equipment for innovation from quality assured company as it may lead to corruption charges.
 - ✓ But recent amendment to prevention of corruption act 1988, the action taken in public interest without any intention or result of obtaining pecuniary advantage to oneself or another is not considered as criminal misconduct. This puts the team at the coach factory of Indian Railways in present case on a higher pedestal against corruption charges.
- Vigilance enquiry may further delay the application of innovation if the personnel in vigilance enquiry themselves are corrupt.

The trend resembles the administrative setup established by the British for self gain, sacrificing the welfare of people.

MEASURES TO PROMOTE HONEST AND INNOVATIVE ORGANISATIONS

- Restructure administrative setup from present hierarchy based to cooperation and trust based.
- More discretionary powers to embrace innovation by accommodating post outcome approvals.
 - ✓ If outcome is good, the innovation can be further expanded.
- Post outcome monitoring by separate ethics body for any misappropriation of funds or flouting of rules.
- Sustain the practice of rewarding innovative projects while punishing the corrupt officials.
- Establish code of ethics in the public organization to transform attitudes to democratic values of welfare of people, National interest over stifling organization rules or interests etc.

CONCLUSION

Apart from legal and administrative reforms, proactive role of government to invest more in R&D and innovation to streamline the economy towards technological advancements is need of the hour.

WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

Presented by



For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

www.learningspacedigital.com

0866 244 44 72

98499 42299

94415 27588